

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle, June 26

1. Executive Summary

Three signals are turning from grey to red:

- **DAO legal wrapper** — Member liability shield (Ooki DAO precedent), DAO bank account, governance clarity for TDG holders
- **Tax-deductible donation channel** — Impact funds, corporate ESG, foundations need a 501(c)(3) to write checks
- **Personal bank account** — Gary's personal account is the bottleneck

The core insight

TrueTech Inc is just another DAO member. It contributes voluntarily (import, distribution) and gets compensated in TDG — same as Nora, Kirsten, Matheus. No service agreement needed.

The UNA opens its own bank account. No TrueTech Inc custodian needed. No TrueTech Inc business account needed. Funds flow directly from partners → UNA bank account → tree planting. Gary's personal account is completely out of the picture.

Recommended structure

Wyoming UNA/DUNA (nonprofit, DAO legal wrapper) → Own bank account (receives partner contributions) → TDG holders govern the UNA → TrueTech Inc = DAO member (voluntary contributor) → Brazilian LTDA (export/sourcing)

2. Current State Assessment

Financial Flows

Current (problematic):

Brazil Farmers → Matheus (private CNPJ) → Export → TrueTech Inc → Gary's personal bank account → DAO expenses

Target (with UNA bank account):

Brazil Farmers → Matheus (private CNPJ) → Export → TrueTech Inc (import/dist)

Nora / partners → UNA bank account → tree planting / DAO expenses

Key Risks

- Personal liability — Gary's personal account commingles DAO funds
- No member liability shield — Ooki DAO precedent
- No tax-advantaged donation pathway — Impact funds have no channel
- Governance ambiguity — TDG holders can't answer "what entity am I voting on?"

Ledger Snapshot

- Cumulative sales: ~\$15,736 USD
- Monthly run rate: ~\$500-1,100/month
- Treasury Balance: ~\$14,622
- TDG issued: ~2.3M tokens
- Partners: Nora, Kirsten, Matheus, Edge & Node, Shuar Design Boutique

3. Recommended Path: The Simplified Model

Step 1: Form the UNA (This Week)

Gary + TrueTech Inc (2 wallets) sign an OtoCo smart contract → Wyoming UNA formed.

- Cost: ~\$50 gas
- Time: 1 day
- Result: Legal personhood, liability shield, EIN eligibility

Step 2: Open the UNA Bank Account (Next 2-4 Weeks)

UNA gets an EIN from the IRS (free, online) → opens a bank account at a DAO-friendly bank.

- Cost: \$0 (EIN) + bank minimum deposit
- Time: 2-4 weeks
- Result: The DAO has its own bank account. Gary's personal account is out of the flow.

Step 3: Route Partner Contributions Through the UNA Account

Nora's coffee sales → UNA bank account → tree planting

Other partner contributions → UNA bank account → DAO expenses

TrueTech Inc continues handling import and distribution as a DAO member, compensated in TDG. It doesn't need to touch the DAO's money.

Why this works

Before	After
Gary's personal account collects all funds	UNA bank account collects DAO funds
Gary bears personal liability	UNA provides liability shield
TDG holders vote on "the community"	TDG holders vote on the UNA
No clear answer for impact funds	UNA can pursue 501(c)(3)
TrueTech Inc needed as custodian	TrueTech Inc is just a member

4. Cost Analysis

Path A: OtoCo UNA → Bank Account (Recommended)

Item	Cost
OtoCo smart contract (2+ wallets)	~\$50 gas
IRS EIN application	Free
Bank account minimum deposit	\$0-\$500
Annual Wyoming license tax	\$60-\$200/yr
Registered agent	\$100-\$200/yr
Total Year 1	~\$250-\$750

Path B: Full DUNA via Law Firm (Future)

Item	Cost
State filing	\$100
Legal fees	\$20,000-\$60,000
Annual costs	\$200-\$400/yr
Total Year 1	~\$20,500-\$60,500

Path C: Brazilian LTDA

Item	Cost
Formation	\$1,000-\$3,000
Annual compliance	\$500-\$2,000/yr

Path D: 501(c)(3) Application (Downstream)

Item	Cost
Tax attorney	\$2,000-\$10,000
IRS filing fee	\$600-\$2,500
Timeline	6-12 months

5. Resource Gap Analysis

What We Have

- Mission clarity (10,000 hectares)
- On-chain governance (TDG, Edgar API)
- Physical supply chain (Brazil → US → retail)
- Tree-planting pipeline (sunmint, lineage-credentials)
- Partner network (Nora, Kirsten, Matheus)
- Technical infrastructure (AWS, QR inventory)
- SVH Capital connection (June 26)

What We're Missing

Gap	Severity	Cost
Legal counsel for DUNA/501(c)(3)	■ Medium	\$50 (OtoCo) or \$20K-\$60K (full-service)
100 DUNA members	■ Low	\$0 (use UNA workaround)
501(c)(3) expertise	■ Medium	\$2K-\$10K (later)
Brazilian legal rep	■ Medium	\$1K-\$3K (later)
Multi-entity accounting	■ Low	\$2K-\$5K/yr (later)

Total cash needed for Year 1: ~\$250-\$750 — well within treasury.

6. Implementation Timeline

Phase	What	Cost	Timeline
Phase 1: This week	Gary + TrueTech Inc sign OtoCo → UNA formed	~\$50 gas	1 day
Phase 2: Next 2-4 weeks	UNA gets EIN → opens bank account	\$0-\$500	2-4 weeks

Phase	What	Cost	Timeline
Phase 3: Ongoing	Route partner contributions through UNA account	\$0	After bank account
June 26	Ask SVH Capital about DUNA + 501(c)(3) pathway	\$0	One conversation
Later	UNA auto-converts to DUNA at 100 members	\$0	Automatic
Later	Form Brazilian LTDA	\$1K-3K	4-8 weeks
Later	501(c)(3) application	\$2K-10K	6-12 months

7. Questions for SVH Capital (June 26)

Primary

1. **UNA bank account:** Will a freshly-formed Wyoming UNA be able to open a US bank account? Any recommended banks that work with DAO entities?
2. **DUNA formation:** Can you refer us to a Wyoming law firm? Or is OtoCo UNA → DUNA sufficient for our stage?
3. **Governance clarity:** Can a Wyoming UNA/DUNA issue TDG tokens to a for-profit C-corp as member compensation?
4. **501(c)(3) pathway:** Realistic timeline and cost for IRS exemption for a DAO that plants trees?
5. **Brazilian entity:** Can a Wyoming UNA/DUNA own or affiliate with a Brazilian LTDA?
6. **TDG as compensation:** Would your referred counsel consider a partial TDG token grant?

Secondary

7. What do impact funds look for in a DAO's legal structure?
8. How should the UNA/DUNA structure carbon credit rights?
9. Is there a practical upper limit on UNA/DUNA members before compliance complexity increases?

8. Clarifying Questions for the DAO

1. Should TDG tokens represent membership in the UNA directly, or a separate membership token?
2. Is TrueTech Inc comfortable being a DAO member compensated in TDG, with no separate service agreement?
3. Should the UNA own the Brazilian LTDA directly, or via a separate holding entity?
4. Apply for 501(c)(3) immediately after UNA formation, or wait for a donation track record?
5. Carbon credits: asset of the UNA (mission-locked) or TrueTech Inc (tradeable)?

9. Risks and Mitigations

Risk	Likelihood	Impact	Mitigation
Bank refuses to open account for fresh UNA	Medium	High	Use Mercury, Relay, or other DAO-friendly banks; TrueTech Inc as backup custodian
IRS denies 501(c)(3) for DAO	Low	High	Clear charitable purpose; crypto-nonprofit precedent exists
Wyoming UNA/DUNA law changes	Low	Medium	Monitor; Wyoming is pro-DAO
Brazilian LTDA delays	Medium	Low	Matheus continues using private entity interim
TDG classified as security	Low	High	UNA membership tokens generally not securities

This proposal was generated by Sophia (TrueSight DAO Autopilot). Not legal advice. Consult qualified counsel before forming any entity.